DIGITALAIKART

TERM INSURANCE BUYER'S PLAYBOOK

India 2026-27 Edition

Work out exactly how much cover you need, choose the right plan, and make sure your family actually receives the money.

The 2026 price map after GST removal · the cover formula that beats the 10x rule · the disclosure rules that decide your claim

Verified from IRDAI, PIB, the Income Tax Department, the Insurance Ombudsman and the Insurance Act, 1938

OCTOBER 2026

What this playbook is

Buying term insurance in India is not complicated. Deciding it well is. The product is one of the simplest financial products there is — you pay a small premium, and if you die during the policy term, your family receives a large, tax-free lump sum. That is the whole idea.

And yet most Indian families who think they are covered are not. The cover is too small, or the term ends too early, or a detail on the proposal form was answered carelessly and the claim is refused years later when it matters most. This playbook is about getting all three right: the amount, the plan, and the honesty.

This is written for the person buying cover for the first time — the young earner who has just started paying tax, the newly married couple, the new parent, the person who has just taken a home loan. It assumes no prior knowledge of insurance. Every rule, price, date and number here comes from an official source: the Insurance Regulatory and Development Authority of India (IRDAI), the Press Information Bureau, the Department of Financial Services, the Income Tax Department, the Insurance Ombudsman rules and the Insurance Act, 1938. The sources are listed at the back.

How to use this playbook

Read Chapters 1 to 4 to fix your number. Read Chapters 5 to 9 to choose the plan and buy it correctly. Read Chapters 10 to 13 before you sign anything and before you file the policy away. Chapter 14 covers special situations, from NRIs to smokers. Chapter 16 is a seven-day action plan with worksheets you can fill in. Chapter 17 is a one-page reference card you can photograph and keep.

Important — please read

This is an educational guide, not financial, tax or legal advice, and it is not a recommendation to buy any particular insurer's product. Insurance and tax rules change; the figures here are current as of October 2026 but you should confirm the details on the insurer's own policy document and on the official sites named in the sources before you buy. Where a decision is significant or personal, speak to a qualified, fee-only adviser.

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Chapter 1. In 2026, term cover is the cheapest it has ever been

The single biggest change in Indian life insurance in a decade took effect on 22 September 2025: the GST on individual life insurance policies — term plans included — was cut from 18% to zero. Your premium no longer carries a tax loading. On a policy that used to cost Rs. 10,000 a year, you now pay Rs. 10,000, not Rs. 11,800.

That one change, confirmed by the 56th GST Council and the Department of Financial Services, means the same cover costs about 15-18% less than it did two years ago. For the first time, the cheapest product in Indian personal finance is also the easiest to justify. There has never been a better moment to fix this part of your finances.

Three other shifts make 2026 the year to act.

- **The market is buying bigger cover.** The old advice — cover equal to 10 to 15 times your income — is now widely treated as a starting point, not an answer. In its 2026 data, Policybazaar reported that Rs. 3 crore cover bookings rose 45% year on year and that the average affluent buyer now takes Rs. 2 crore, against Rs. 1 crore for everyone else.
- **The product is standardised.** Since January 2021 every life insurer in India must offer Saral Jeevan Bima, a no-frills term plan with identical terms across companies. Comparing plans is now mostly a comparison of price and claims record, not of fine print (Chapter 7).
- **The law has moved toward policyholders.** The Sabka Bima Sabki Raksha (Amendment of Insurance Laws) Act, 2025 — which received presidential assent on 20 December 2025 — raised the foreign investment limit in insurers to 100%, created a Policyholders' Education and Protection Fund, and lifted the maximum penalty IRDAI can impose on an insurer from Rs. 1 crore to Rs. 10 crore. Regulators with sharper teeth tend to produce faster claim service.

And the gap is still wide. India is the 10th largest insurance market in the world by premium volume, and the share of insurance and pension funds in household financial assets rose to 29.6% in FY25 from 28.6% in FY19. But a market that is large is not the same as a population that is protected. Most working Indians rely on a small employer group cover that ends the day the job does, and on no personal cover at all.

The bottom line

If you have dependants or a loan and no personal term cover, 2026 is the year to fix it — the premium is lower than it has ever been, the product is standardised, and the rules now favour the policyholder more than they did. The only remaining question is the right number, and that is Chapter 3.

Chapter 2. What term insurance is — and what it is not

Term insurance is pure protection. You pay a premium for a fixed number of years. If you die during those years, your nominee receives the sum assured as a lump sum, and that money is fully exempt from income tax. If you survive the term, the policy simply ends. There is no maturity payout, no bonus, no cash value. You paid for peace of mind and you did not need to use it.

That is the design, not a flaw. Because the plan has no savings or investment element, almost all of your premium goes toward the actual cover, which is why a large sum assured costs so little. A 25-year-old can buy Rs. 1 crore of cover for roughly Rs. 520 to Rs. 640 a month.

Term cover is not the same as the plans your bank or an agent may push

Plan type	What it pays	Typical cost for the same cover	Best for
Term plan	Sum assured only if you die during the term; nothing on survival	Lowest	Pure income protection
Endowment / money-back	Sum assured plus bonuses on maturity, or on death	Several times higher	Forced saving, if that is the goal
ULIP	Market-linked fund value; cover is usually small	High, with charges	Investing, not protection
Whole life	Pays on death whenever it happens, up to age 99/100	Higher; cover often modest	Legacy and estate needs
Employer group cover	A multiple of salary, while employed	Free to you	A bonus, never a substitute

The honest comparison

A bundled plan — endowment, money-back or ULIP — takes the same premium and splits it between a small cover and a mediocre investment. A term plan plus a disciplined monthly investment of the difference almost always leaves your family better protected and you with more money. The one reason people still buy bundled plans is that the premium feels like it comes back. It does — but you paid far more for far less cover along the way.

Do not confuse life cover with health cover

Term insurance pays only on death. It does not pay hospital bills, and it does not pay you if you fall ill and survive. Health insurance is a separate product and a separate need. Buying term cover does not reduce the case for a health policy.

The 'buy term and invest the difference' arithmetic

The clearest way to see why a bundled plan rarely wins is to put the same monthly outlay beside a term plan and a low-cost investment. The figures below are illustrative, but the shape of the result is not: the term plan protects your family many times over for the same money.

Same money, two ways	Term plan + an index fund	A bundled savings plan
Annual outlay	Rs. 30,000	Rs. 30,000
Life cover for the money	About Rs. 1.5 crore	A few lakh, at most
Where the rest goes	About Rs. 24,000 a year into a low-cost fund	Bundled inside the plan, after charges

Same money, two ways	Term plan + an index fund	A bundled savings plan
If you die during the term	The full sum assured, tax-free, to your family	A small cover plus a modest fund value
If you survive	No payout from the term plan; the fund is yours	A maturity payout, reduced by charges

The one honest advantage of a bundled plan is that the premium feels like it comes back. It does come back — but you paid a great deal more along the way, and for a fraction of the protection. Buy the cover you need from a term plan, and if you want to invest, invest deliberately through a separate product you understand.

Why employer cover is not enough

Group life cover from your employer is a genuine benefit, but it has three limits. It usually pays a modest multiple of your salary — often one to three years' pay, far short of what a family needs. It ends when your employment ends, at exactly the moment your family may be most exposed. And it is priced and chosen by your employer, not for your household. Treat it as a top-up on top of your own cover, never as the cover itself.

Chapter 3. How much cover you actually need

The number that matters is not your income. It is the amount of money your household would need, invested sensibly, to keep going if your income stopped tomorrow. That is the sum you are insuring, and it is usually much larger than the 10-times-income rule suggests.

Why the 10-to-15-times rule falls short

The income-multiple rule ignores the two things that most increase a family's need: debt and time. A home loan does not disappear when you do — your family still has to repay it. And a dependant who is 5 years old today needs support for another 15 to 20 years, not for one or two. At 6-7% inflation, the cost of education and household expenses roughly doubles over a decade. A cover that looks generous today can be half of what is needed in 15 years.

The method that gets it right: build the number from the bottom up

Use this four-step sum. It is the approach actuaries and advisers describe as the Human Life Value method, and it takes about ten minutes.

1. **Income replacement.** Take your monthly household expenses (not your income) and multiply by 12, then by the number of years your family would need support — usually until your youngest dependant is independent, or until your planned retirement age. Example: Rs. 55,000 x 12 x 30 years = Rs. 1.98 crore.
2. **Add every outstanding loan.** Home loan, car loan, personal loan, education loan — the full balance, because the family must clear it. Example: Rs. 45 lakh.
3. **Add future goals you would want funded.** Children's higher education, a wedding, care for ageing parents. Example: Rs. 25 lakh.
4. **Subtract what the family could already rely on.** Existing savings, investments, and any employer group cover. Example: Rs. 15 lakh of mutual funds and EPF.

The sum, in one line

Required cover = (monthly household expenses x 12 x years of support) + all outstanding loans + future goals - existing assets and existing cover.

Worked examples at three life stages

Profile	Income	The sum	Cover needed
Single, 26, no dependants, Rs. 8 lakh education loan	Rs. 9 L	Loan only; no household to replace yet	Rs. 25-50 L
Married, 30, one child, Rs. 45 L home loan, Rs. 55,000/month expenses, 30 years to support	Rs. 15 L	Rs. 1.98 Cr + Rs. 45 L + Rs. 25 L - Rs. 15 L	Rs. 2.5-2.8 Cr
Sole earner, 38, two children, Rs. 60 L loan, Rs. 70,000/month expenses, 22 years to support	Rs. 24 L	Rs. 1.85 Cr + Rs. 60 L + Rs. 40 L - Rs. 20 L	Rs. 2.6-3 Cr

The ranges above line up with what advisers say in practice. Cover for a salaried professional with a home loan and dependants is commonly Rs. 1.5 crore to Rs. 3 crore, and for households with large loans or several dependants it can comfortably exceed 20 to 25 times income. Women often pay 10-15% less than men for the same cover, because of how insurers price longevity.

Two practical rules that make the number easier to live with

- **Buy in layers, not one big policy.** Two Rs. 1 crore policies instead of one Rs. 2 crore policy let you drop one layer later, when the loan is repaid or the children are independent, without disturbing the rest. It also spreads insurer risk.
- **You do not have to reach the perfect number today.** A smaller policy now, bought young and healthy at a low locked-in premium, beats waiting five years for the ideal figure. You can add a second policy later, and many plans offer a life-stage option to increase cover at marriage or the birth of a child.

Step five: measure the gap you already have

Before you settle on a number, subtract what your family could already rely on if you died today. This is the step people skip, and it cuts both ways: sometimes it shows you need less than you feared, and often it shows that the employer group cover you were counting on is a small fraction of the real need.

What the family could count on	Worked example (married, 30)
Savings and fixed deposits	Rs. 4 lakh
Mutual funds and shares	Rs. 6 lakh
Employee Provident Fund	Rs. 5 lakh
Employer group life cover	Rs. 45 lakh (about 3 years of salary)
Total already available	Rs. 60 lakh
Cover needed from your own policy	Rs. 2.68 crore - Rs. 60 lakh = about Rs. 2.1 crore

A second, quicker method

If you want a rough figure in a minute, start from a multiple of income by life stage and then add your loans. Treat these as starting points only, and use the full sum for the real number.

Your situation	Starting multiple of income
Single, no dependants, no large loan	10 to 15 times
Married, both partners earning	10 to 15 times each
Married, sole earner	15 to 20 times
One young child	15 to 20 times, plus the child's future costs
Two or more children	20 to 25 times, plus their future costs
Heavy loans	Add the full outstanding loan on top

Review, do not set and forget

Revisit your cover every three to five years, and immediately after any of these: marriage, a child, a home loan, a large salary rise, taking on responsibility for ageing parents, or starting a business. Each of these raises the number.

Chapter 4. The 2026 price map

Term insurance is priced on three things: your age when you buy, your health and habits, and the sum assured and term you choose. Age is the one you cannot change later, which is why buying young locks in the lowest price for life.

The GST change, in numbers

Before 22 September 2025, individual life premiums carried 18% GST. A Rs. 10,000 annual premium was billed at Rs. 11,800. Since that date, individual life and health policies are exempt — the same premium is Rs. 10,000. Group and employer-sponsored policies still carry 18%, which is one more reason your own individual policy is the one that matters.

What Rs. 1 crore of cover costs, by age at purchase

Indicative annual premiums for a Rs. 1 crore sum assured, non-smoker male, salaried, bought online, cover to age 60. These are before the 2026 GST exemption, which is now zero on individual policies.

Age at entry	Approx. annual premium	Approx. monthly	vs. buying at 25
25 years	Rs. 6,200 - Rs. 7,700	Rs. 520 - Rs. 640	Baseline
28 years	Rs. 7,000 - Rs. 8,600	Rs. 580 - Rs. 720	About 13% higher
30 years	Rs. 8,400 - Rs. 10,400	Rs. 700 - Rs. 870	About 35% higher
35 years	Rs. 12,600 - Rs. 16,200	Rs. 1,050 - Rs. 1,350	About 74-100% higher
40 years	Rs. 16,800 - Rs. 21,600	Rs. 1,399 - Rs. 1,800	About double

A second data point, from an insurer's own published illustration: for a Rs. 1 crore cover with a 30-year term, one large private insurer's annual premium is about Rs. 8,064 at age 25, Rs. 10,464 at 30, Rs. 14,784 at 35 and Rs. 21,792 at 40. At 40 you pay roughly 2.7 times the age-25 price for the same cover and the same term.

What else moves the price

Factor	Effect on premium	What to do
Smoking or tobacco use	Often 30-60% higher	Disclose it. Non-disclosure here is a leading cause of rejected claims
Being female	Typically 10-15% lower	Automatic; many plans price women at the rate of a 3-year-younger man
Monthly vs. yearly payment	Monthly modes carry a small loading	Pay yearly if cash flow allows
Longer policy term	Higher, but locks cover for longer	Match the term to when your youngest dependant becomes independent
Higher sum assured	Higher absolute premium, lower rate per lakh	Buy the cover you need; large-policy rebates exist
Riders	Each adds to the premium	Add only what you would otherwise buy separately

The GST change, on a real premium

Take a policy with an annual premium of Rs. 8,400. Before 22 September 2025 you were billed Rs. 9,912, because 18% GST was added. Today you pay Rs. 8,400. That is a saving of Rs. 1,512 a year, or about Rs. 45,000 over a 30-year term, for the same cover. On a larger policy the saving is proportionally larger still.

Annual premium	Before 22 Sept 2025 (with 18% GST)	Now (exempt)	Saving a year
Rs. 6,000	Rs. 7,080	Rs. 6,000	Rs. 1,080
Rs. 8,400	Rs. 9,912	Rs. 8,400	Rs. 1,512
Rs. 15,000	Rs. 17,700	Rs. 15,000	Rs. 2,700

Two quotes, side by side

Say you are 30, want Rs. 1.5 crore for a 35-year term. Three insurers will quote within a few hundred rupees of one another. What separates them is not the price — it is the claims record behind it. Weigh both.

Insurer	Annual premium	Claim ratio	Paid within 30 days
Insurer A	Rs. 12,900	99.6%	99.9%
Insurer B	Rs. 12,400	97.8%	91.2%
Insurer C	Rs. 13,200	99.4%	98.7%

Insurer B is the cheapest by Rs. 500 a year, and the weakest on both service measures. On a 35-year term, Rs. 500 a year is about Rs. 17,500 in total — a small price for a faster, more reliable claim. This is the trade the next chapter helps you make.

Buy online, but do not buy on price alone

Buying directly on an insurer's website is usually a little cheaper than buying through an agent, and online purchases often attract a small rebate. But the cheapest quote is not automatically the best plan. A policy that saves you Rs. 500 a year and is slow or difficult to claim on has cost your family far more than it saved. Weigh price against the claims record in Chapter 8 — and never buy a plan you do not understand.

Chapter 5. Reading a term plan like an insider

Once you have your number, the plan itself is simple — but six features decide whether it does its job. Learn these six and you can read any term policy in five minutes.

1. Policy term versus premium paying term

The policy term is how long the cover lasts. The premium paying term is how long you pay for it. They are often the same, but you can choose a limited-pay option — say, pay for 10 years to cover a 30-year term — which costs more each year but frees you of premiums sooner. Choose the policy term so that cover lasts until your youngest dependant is financially independent, or until your loans are repaid, whichever is later.

2. The sum assured on death

This is what your nominee actually receives, and it is defined by a formula, not a single number. Under the standard term plan, the sum assured on death is the highest of three amounts: 10 times your annualised premium, 105% of all premiums paid so far, or the basic sum assured you chose. In practice, because the basic sum assured is large and the premium is small, it is almost always the basic sum assured that is paid.

3. The waiting period

Under Saral Jeevan Bima there is a 45-day waiting period from the start of risk. If death happens in those 45 days from an accident, the full sum assured is paid. If death happens from any other cause in those 45 days, only the premiums paid are returned. The waiting period does not apply again after a revival. It is a short window, but know that it exists.

4. Exclusions

The standard term plan has exactly one exclusion: suicide within 12 months of the start of risk or of a revival. In that case the policy is void and the nominee receives the premiums paid, not the sum assured. A term plan that tries to load on many other exclusions is a warning sign — under IRDAI's standard product there are none.

5. Grace period, lapse and revival

If you miss a premium, you get a grace period — 30 days for yearly or half-yearly payments, 15 days for monthly. Pay within it and the cover continues uninterrupted. Miss it and the policy lapses. A lapsed policy can be revived within five consecutive years of the first unpaid premium, by paying the arrears with interest and, usually, re-confirming your health. Do not let a policy lapse — a revived policy restarts the clock on some protections.

6. The free-look period

You get 30 days from the day you receive the policy document to read it and cancel if you are not satisfied. If you cancel within the free-look window, you get your premium back, less a proportionate risk charge for the days you were covered, any medical-test cost the insurer paid, and stamp duty. The refund must be processed within seven days of your request. Use this window — read the actual policy document, not just the brochure.

Reading a policy schedule: a worked example

The policy schedule is the first page of your policy document. It summarises the contract. Here is what a healthy one looks like for a 30-year-old buying Rs. 1.5 crore of cover.

Field in the schedule	Example entry	Why it matters
Sum assured	Rs. 1,50,00,000	The cover your nominee receives

Field in the schedule	Example entry	Why it matters
Policy term	35 years	Cover lasts until you are 65
Premium paying term	35 years	You pay for the whole term
Annual premium	Rs. 12,900	No GST is added on an individual policy
Date of commencement of risk	The policy start date	The waiting period runs from here
Nominee	Spouse, with share 100%	Who receives the money
Mode of payment	Yearly	Monthly modes carry a small loading

Check every field against what you agreed. If the sum assured, the term or the nominee is wrong, raise it during the free-look period — it is far easier to fix now than at claim time.

The five-minute policy check

Policy term and premium paying term clear? Sum assured on death understood? 45-day waiting period noted? Free-look window and cancellation refund rules read? Nominee named? If all five are yes, you understand the plan.

Chapter 6. Riders: what is worth adding

A rider is an optional add-on that pays an extra benefit on top of your term cover, for an extra premium. They are genuinely useful in the right situations, and a distraction in the wrong ones. The rule is simple: a rider earns its place only if you would otherwise go out and buy that protection separately.

Rider	What it pays	Worth it when
Accidental death benefit	An extra sum, on top of the cover, if death is caused by an accident	You are the sole earner and want the extra cushion cheaply
Permanent disability benefit	A lump sum if an accident leaves you permanently disabled	Your income depends on physical ability or you drive a lot
Critical illness rider	A lump sum on diagnosis of a listed illness such as cancer or a heart attack	You have no separate health or critical-illness cover
Waiver of premium	Future premiums are waived if you become disabled or critically ill	You want the cover to survive your own illness

Three cautions

- **Do not let riders shrink your core cover.** The base sum assured is the point of the policy. If adding riders pushes the premium beyond your budget, buy the cover you need first and add riders later.
- **A critical illness rider is not health insurance.** It pays a lump sum on diagnosis and is not a substitute for a hospitalisation policy that pays the bills. If you have neither, buy health cover before you add this rider.
- **Compare the rider against a standalone policy.** A standalone accident or critical-illness policy is often cheaper and wider than the rider version. Add the rider only when it is genuinely the better buy.

Riders under the standard plan

Saral Jeevan Bima permits only two riders — the approved accident benefit and permanent disability benefit. Critical-illness and waiver riders are offered on other term plans, not on the standard product. If a rider matters to you, check whether the plan you are looking at is allowed to offer it.

Chapter 7. Saral Jeevan Bima — the standard plan explained

In 2020 IRDAI did something unusual and helpful: it told every life insurer in India to offer one identical term plan, with the same terms, from 1 January 2021. It is called Saral Jeevan Bima. Because the coverage terms are the same everywhere, the only things that differ between insurers are the price and the claims record — which is exactly what a first-time buyer wants.

Feature	Saral Jeevan Bima — the standard terms
Entry age	18 to 65 years (age last birthday)
Maximum maturity age	70 years
Sum assured	Rs. 5 lakh to Rs. 25 lakh, in multiples of Rs. 50,000 (insurers may offer more)
Policy term	5 to 40 years
Premium payment	Regular (same as term), limited (5 or 10 years), or single premium
Waiting period	45 days from the start of risk; does not apply on revival
Exclusions	Only suicide within 12 months of start or revival
Death benefit	Highest of 10x annualised premium, 105% of premiums paid, or the basic sum assured
Maturity benefit	None — it is a pure protection plan
Surrender value	None on regular-premium policies
Riders allowed	Accident benefit and permanent disability benefit only

Who it suits

Saral Jeevan Bima is a strong choice if you want a simple, comparable, no-surprises plan and your cover need is within Rs. 25 lakh — for example a young person with an education loan and no dependants yet. Because the terms are fixed, you can pick the cheapest insurer without worrying that you are missing a feature.

When to look beyond it

If your calculated cover is more than Rs. 25 lakh — which it usually is once you have a home loan or children — you will need a regular term plan from an insurer, which allows much larger sum assured. Many insurers also offer Saral Jeevan Bima with a sum assured above Rs. 25 lakh on the same terms, so it is worth asking. For most families with real dependants, the right answer is a standard large term plan rather than the capped standard product.

A useful benchmark, even if you do not buy it

Saral Jeevan Bima is the cleanest yardstick in Indian insurance. Its terms are public and fixed, so you can hold any other term plan up against it and ask: what does this plan add, what does it exclude, and is the extra premium worth it?

Chapter 8. Choosing your insurer without being misled

Once you know your cover and your term, the insurer is the last decision — and the one most people get wrong, because they judge it on a single number. The number is the claim settlement ratio. It matters, but on its own it can mislead, and there is a better one to look at.

What the claim settlement ratio really says

The claim settlement ratio is the number of death claims an insurer settled, divided by the number it received, in a year. Across the Indian life industry the individual death claim settlement ratio is above 98%, and individual insurers report figures in the 97-99.8% range. Two insurers at 99% and 99.5% are not meaningfully different to you — and a very high ratio at a small insurer can rest on a handful of claims.

The metric that is actually more useful

Look at the share of claims paid within 30 days of intimation. A family in grief does not care only that a claim is eventually paid; it cares how fast the money arrives. For FY2024-25, the industry paid about 97.1% of individual death claims within 30 days, and private insurers paid about 97.3%. That single figure tells you more about service quality than the headline ratio.

A sample of individual death claim settlement ratios, FY2024-25

From IRDAI's Handbook on Indian Insurance Statistics 2024-25. Use these to spot outliers, not to rank insurers to a decimal place.

Insurer	Claims received	Claim settlement ratio	Paid within 30 days
Axis Max Life	20,225	99.70%	94.4%
HDFC Life	19,729	99.68%	99.98%
Tata AIA Life	8,577	99.41%	98.7%
Bajaj Life	14,094	99.29%	93.9%
ICICI Prudential Life	12,405	99.31%	98.2%
SBI Life	44,949	98.34%	99.1%
LIC of India	8,69,086	97.59%	97.1%

Three more things to check

- **Solvency ratio.** IRDAI requires insurers to maintain a solvency ratio of at least 150%. A comfortably higher figure — many large insurers report well above it — is a sign of financial strength. It is published on each insurer's website.
- **Grievance record.** IRDAI publishes complaint data. A high complaint volume relative to the number of policies is a warning that service may be poor.
- **The policy wording, not the brochure.** The brochure is marketing. The policy document is the contract. Download and read it, especially the definitions and the exclusions, before you buy.

How to actually choose

Shortlist three or four insurers with a claim settlement ratio above roughly 98% and a solid paid-within-30-days figure. Get a quote for your exact age, cover and term from each. Then pick on price among the shortlist, and buy the plan whose policy wording you can understand. Do not buy from an insurer only because it is the cheapest.

Chapter 9. The buying process, step by step

From your cover number to a policy in your inbox, the process takes a few days and follows a fixed sequence. Knowing each step in advance removes the pressure to decide on the spot.

1. **Fix your cover, term and budget.** Use Chapter 3. Write the number down. This is the only step that should take thought; everything after it is execution.
2. **Get quotes.** Enter your age, gender, cover and term on an insurer's own website and on a comparison site. Compare the annual premium and the two claims figures from Chapter 8.
3. **Fill the proposal form yourself.** The proposal form is the basis of the contract. Answer every health, habit and occupation question truthfully. Do not leave blanks and do not let anyone fill it in for you (see Chapter 10).
4. **Complete KYC.** Keep your PAN, Aadhaar, a recent photograph and a bank account ready. Everything is now digital and most of it is instant.
5. **Medical tests if required.** Depending on your age, cover and declared health, the insurer may ask for a medical. Many insurers offer a tele-medical — a video call with a doctor — for smaller covers, which is faster and needs no travel. The insurer usually pays for tests it asks for.
6. **Underwriting.** The insurer may accept the proposal as it is, accept it with an extra premium, or decline. If an extra premium is quoted, you are free to accept, reduce the cover, or walk away and try another insurer.
7. **Pay the premium.** There is no GST on an individual life policy since 22 September 2025, so the premium you are quoted is the premium you pay.
8. **Receive the policy in electronic form.** Every insurer issues policies electronically, and they are held in your e-insurance account (Chapter 11). You get the policy document, the proposal copy and the benefit illustration by email.
9. **Use your free-look window.** Read the policy document within 30 days. If anything is wrong or unclear, raise it or cancel and get a refund as set out in Chapter 5.
10. **File the policy and tell your family.** Store it where your nominee can find it, and complete the claim-ready file in Chapter 11.

Documents to keep from day one

The policy document, the proposal form you signed, any medical reports, the premium payment receipts, the nominee details, and the insurer's claim helpline number. Together these are the file your family will need one day. Put them in one place and tell your nominee where that place is.

Chapter 10. Disclose everything — the chapter that decides your claim

If you remember one chapter of this playbook, make it this one. Most claims are not rejected because the insurer did not want to pay. They are rejected because a fact known at the time of buying was not disclosed, and the insurer found out at claim time. Almost every one of those rejections was avoidable at the proposal stage.

The proposal form is the contract's foundation

When you sign the proposal form, your answers become the basis on which the insurer accepts the risk and prices the policy. If an answer is wrong or a fact is hidden, and that fact would have changed the insurer's decision or the premium, the insurer can treat the contract as wrongly obtained. The insurer's power to do this is governed by Section 45 of the Insurance Act, 1938.

Section 45 and the three-year rule — know your protection

Section 45, as amended in 2015, gives you a strong shield. Once a policy has been in force for three years — counted from the latest of the date of issue, the start of risk, a revival, or the addition of a rider — the insurer cannot call the policy into question on any ground at all, including fraud discovered later. Within those first three years, the insurer may question the policy, but only on stated grounds, and for a claim it must prove the misstatement was material. A bare one-line rejection does not satisfy the law; the insurer must give written reasons.

What this means for you

The first three years are the vulnerable window. If you disclose everything honestly at the start, you have nothing to worry about in that window either. Honesty at the proposal stage is the cheapest protection you will ever buy.

The questions people get wrong

Question on the form	The wrong answer	The right answer
Do you use tobacco in any form?	"No" while chewing gutkha or vaping	Disclose every form — tobacco use raises premium but does not stop cover
Do you consume alcohol?	"No" when you drink regularly	Answer honestly; moderate, declared drinking rarely affects acceptance
Any existing illness or medication?	Leaving it blank	List every diagnosis and current medicine, however minor it seems
Any past surgery or hospitalisation?	"No" to avoid a test	Disclose it; a test now is far cheaper than a rejected claim later
Family history of disease?	Guessing	Answer as accurately as you can; uncertainty is acceptable, concealment is not
Occupation	Understating a risky job	State your real duties; misstating a hazardous occupation is material

The causes of rejected claims, in plain terms

Claims are repudiated, within the three-year window, for material non-disclosure or misstatement, or for documents that are not genuine. They are not usually rejected for the reason people fear — dying of an illness. If you disclosed the illness when you bought the policy, the claim stands. The insurer's job at claim time is to check the proposal form against the facts. Make that check easy by telling the truth the first time.

Chapter 11. Nomination, e-insurance and your claim-ready file

A term policy is only as good as the family's ability to claim on it. Two simple tasks — naming a nominee and keeping the papers in one place — decide whether the money arrives quickly or after months of paperwork.

Nomination

You must name a nominee when you take a life policy; the law requires it. The nominee is the person who receives the money if you die. You can change the nominee at any time during the term, and the process is meant to be simple. Choose someone who will not be a minor when the claim is likely to arise — if you must name a minor, you also name an appointee, an adult who receives the money on the minor's behalf. Name your spouse or a parent as nominee, and keep the details current after marriage or a change in family.

Your e-insurance account

Every insurer now issues policies in electronic form, and these are held in an e-insurance account (eIA) opened with a registered insurance repository. When you buy, the insurer creates your eIA, or uses the one you already have. At claim time the insurer retrieves the policy from the repository, which makes the process faster. You can open an eIA even if the insurer does not create one for you, and you can hold policies from different insurers in the same account.

The claim-ready file

Build this once, keep it in one place, and tell your nominee where it is. It turns a stressful claim into a short paperwork exercise.

- The policy document (and the e-insurance account number).
- A copy of the proposal form you signed.
- The nominee's full name, relationship, date of birth and contact details.
- The insurer's claim helpline number and the grievance officer's email.
- Premium payment receipts, and a note of the payment mode (auto-debit, UPI, etc.).
- Any medical reports from the time of buying.
- A one-page note, in plain language, telling your family the policy exists and what to do first.

A single sheet that prevents months of delay

Write one page headed 'If something happens to me', listing the insurer, the policy number, the cover amount, the nominee, and the claim helpline. Keep it with the policy, and tell your spouse or parent where it is. Most families lose weeks simply not knowing a policy existed or who to call.

Chapter 12. Tax in 2026-27 — what changed and what it means

India's income tax law was rewritten. The Income-tax Act, 2025 replaced the 1961 Act and applies from tax year 2026-27, which began on 1 April 2026. The section numbers you knew have changed. For life insurance, three renumberings matter, and one old rule — the tax-free death benefit — is untouched.

What it covers	Old section (1961 Act)	New (Income-tax Act, 2025)
Deduction for life insurance premium	Section 80C	Section 123, read with Schedule XV
Health insurance premium deduction	Section 80D	Section 126
Exemption of policy proceeds	Section 10(10D)	Schedule II, Clause 2

The deduction: Section 123

A premium you pay on a policy covering your own life, your spouse's or your children's life qualifies for a deduction of up to Rs. 1,50,000 in a tax year, shared with other eligible items such as provident fund, PPF, ELSS and home loan principal. The deduction is available only if you opt for the old tax regime; the new regime is the default and does not allow it. There is also a cap: for policies issued on or after 1 April 2012, only premiums up to 10% of the sum assured qualify. On a pure term plan the cover is large and the premium small, so this cap almost never bites.

The exemption on the money your family receives

The death benefit — the sum assured paid to your nominee — is fully exempt from income tax in the nominee's hands, regardless of the premium-to-cover ratio. This is the heart of term insurance and it has not changed. For maturity payouts on savings-type policies, the exemption depends on thresholds, including a rule that non-ULIP policies issued on or after 1 April 2023 stay exempt only if the aggregate annual premium stays within Rs. 5 lakh. Term plans have no maturity payout, so this does not affect them.

One clawback to know

If you claim the Section 123 deduction and then terminate the policy before you have paid premiums for two years, the deduction already allowed can be added back to your income and taxed in the year of termination. Keep the policy running for at least two years, or you lose the tax benefit and the protection.

The honest conclusion on tax

If you are in the new tax regime — which is now the default — your term premium gives you no deduction at all. That is fine, and it settles the question: buy term cover because your family needs the protection, not for a tax break. Any deduction is a side effect. Choosing a bigger, more expensive policy to chase a deduction is a mistake that costs more than it saves.

Chapter 13. When the claim happens

No one wants to think about this chapter, but the family that knows what to do files a claim in days instead of months. The process is well-defined, and the law sets timelines the insurer must meet.

The claim process

1. **Inform the insurer.** Call the claim helpline or use the insurer's online claim portal. Register the death claim as soon as possible; there is no benefit in waiting.
2. **Submit the documents.** Usually the claim form, the original policy document, the death certificate, the nominee's identity and bank details, and — for an early death — medical or police records.
3. **Wait for settlement or decision.** The insurer may settle directly or, if it needs to investigate, take longer.
4. **Receive the money.** The sum assured is paid to the nominee, tax-free, into the bank account on record.

The timelines the insurer must keep

For a life insurance claim, IRDAI's rules require settlement within 30 days where no investigation is needed, and up to 120 days where an investigation is required, from the date the insurer has all the documents. If the insurer delays beyond the prescribed window, it must pay interest at the bank rate plus 2% a year. A rejection must be in writing and must state the reasons.

If the claim is delayed or rejected: the grievance ladder

Step	Where to go	What happens
1	The insurer's Grievance Redressal Officer (GRO)	The insurer should resolve the complaint within about 15 days
2	IRDAI's Bima Bharosa portal (bimabharosa.irdai.gov.in), toll-free 155255, complaints@irdai.gov.in	IRDAI forwards it to the insurer and monitors the response; a useful audit trail
3	The Insurance Ombudsman	An award within 3 months of receiving all requirements; binding on the insurer

The Insurance Ombudsman in detail

The Ombudsman is a free, quasi-judicial forum for policyholders, with 17 centres across India. You must first have complained in writing to the insurer, and either been rejected or had no reply within a month. You then have one year to approach the Ombudsman. The Ombudsman can hear complaints where the compensation sought does not exceed Rs. 50 lakh, and the award is binding on the insurer, which must comply within 30 days. There is no fee to file, and you cannot approach the Ombudsman and a court or consumer forum on the same matter at the same time — choose one route.

Keep every document, and keep it dated

The single thing that decides how a dispute ends is documentation. Keep the claim forms, the insurer's emails, the rejection letter, the hospital records and the policy document. Take a written acknowledgement of every complaint you file, with the date. A dated paper trail is what turns a stalled claim into a paid one.

Chapter 14. Special situations

The same principles apply to everyone, but a few buyers face questions the standard route does not answer. Here is what changes in each case.

If you are an NRI or about to move abroad

Buying cover in India before you leave is usually cheaper than buying abroad, and the death benefit is exempt from Indian tax in the nominee's hands. Disclose your travel and residence plans honestly on the proposal form — non-disclosure of a move abroad can become a claim dispute. Keep the policy premiums running through an Indian bank account, and make sure your nominee's contact details stay current.

If you are a freelancer or self-employed

You have no employer group cover, so your personal policy is your only protection — which makes it more important, not less. Insurers may ask for income proof such as ITRs; keep two to three years of returns ready. Your income can be lumpy, so choose an annual premium you can always meet, and set up an auto-debit so a busy quarter never causes a lapse.

If you smoke or use tobacco

Your premium will be higher — often 30-60% higher — but you will still get cover if you disclose it. What you must not do is tick 'non-smoker' to save money. Tobacco use is one of the most common reasons a claim is questioned inside the first three years, and the insurer will find out. Disclose it, pay the honest premium, and you are protected.

If you are older, or unwell

Cover is still available in your fifties, and often into your sixties, though the premium is much higher and medical tests are more likely. If you have a condition such as diabetes, high blood pressure or a past heart problem, disclose it. The insurer may accept you at a higher premium, exclude a specific condition, or decline — but a disclosed condition that is accepted means a claim on that condition stands. Concealment is what loses claims.

If you are a woman

You will typically pay 10-15% less than a man of the same age for identical cover, because insurers price on longer life expectancy. Many plans price women at the rate of a three-year-younger man. There is no reason to delay cover on account of cost — for most women the cover is cheaper than they expect.

The common thread in every special situation

Full, honest disclosure on the proposal form. It is the one step that protects every buyer — NRI, freelancer, smoker, older or unwell — because it removes the only ground on which an insurer can question a claim inside the first three years.

Chapter 15. Twelve mistakes that cost families

These are the recurring errors that leave Indian families underinsured or unpaid. Read them once now, and again before you buy.

1. **Buying too little cover.** The single most common mistake. Use the Chapter 3 sum, not the 10-times rule.
2. **Covering the wrong person, or only one earner.** In a dual-income household, both earners need their own cover.
3. **Choosing a term that ends too early.** If the policy ends at 50 and your child is still studying, the cover fails when it is needed.
4. **Leaving the proposal form blank or careless.** Non-disclosure is the leading cause of rejected claims. Answer everything.
5. **Buying a savings plan when you needed protection.** A small cover bundled with a poor investment protects no one well.
6. **Relying on employer group cover.** It ends with the job, exactly when the risk may be highest.
7. **Not naming a nominee, or naming a minor with no appointee.** This delays or complicates the payout.
8. **Chasing the cheapest quote only.** A low premium at a slow-paying insurer costs your family far more than it saves.
9. **Letting the policy lapse.** A missed premium can end the cover; revival restarts some clocks and may need fresh health checks.
10. **Never reviewing the cover.** A policy set up before marriage or a home loan is almost certainly too small now.
11. **Forgetting the tax clawback.** Terminating a policy within two years can add the earlier deduction back to your income.
12. **Not telling anyone the policy exists.** An unclaimed policy is no protection. Tell your nominee, and keep one file.

The test to apply before you buy

Ask one question: if I died next month, would the money from this policy let my family clear every loan and keep living in the same home, with the same schooling, without my income? If the honest answer is no, the cover is too small or the term is too short.

Chapter 16. Your seven-day action plan

Seven days, one task each. By the end you will have cover in place and a file your family can use.

Day	Task	Done
Day 1	Work out your cover using the Chapter 3 sum. Write the number down.	
Day 2	Decide the policy term and the premium paying term. Note your budget.	
Day 3	Get quotes from three or four insurers. Record premium and the two claims figures.	
Day 4	Draft your disclosure: list every illness, medicine, habit and past surgery truthfully.	
Day 5	Fill the proposal form yourself and complete the medical or tele-medical.	
Day 6	Pay, receive the e-policy, and read the policy document within the free-look window.	
Day 7	Name the nominee, build the claim-ready file, and tell your family where it is.	

A cover map for the years ahead

Your need will not stay still. This table shows how each life event moves it, and what to do about it.

Life event	What it does to your need	What to do
First salary	There is now an income to protect	Buy your first policy if you have a dependant or a loan
Marriage	A second person depends on your income, often with a joint loan	Review and raise cover; both partners need their own policy
First child	18 to 22 years of support lie ahead	Raise cover and extend the policy term
Home loan	A large debt that outlives you	Add the full loan balance to your cover
Parents become dependants	A new monthly support commitment	Raise cover again
A big salary jump	The 10-to-15-times figure now means more	Review every three to five years
Approaching retirement	Dependants independent, loans repaid	You may drop a layer you no longer need

Worksheet A. My cover calculation

Step	What to enter	My figure
Income replacement	Monthly household expenses x 12 x years of support	
Loans	Total outstanding home, car, personal and education loans	
Future goals	Children's education, wedding, parents' care	
Less existing assets	Savings, investments, EPF, employer group cover	
Cover needed	Step 1 + Step 2 + Step 3 - Step 4	

Worksheet B. Insurer comparison

Insurer	Annual premium	Claim ratio	Paid in 30 days	Notes

Worksheet C. Claim-ready file checklist

- Policy document and e-insurance account number filed
- Copy of the signed proposal form kept
- Nominee details current and correct
- Claim helpline number noted and shared
- Premium receipts saved
- One-page note written for the family

Chapter 17. Quick reference card

Photograph this page and keep it in your phone.

The rule or number	The detail
Cover formula	(Monthly expenses x 12 x years of support) + loans + goals - existing assets
Typical cover	Rs. 1.5-3 crore for a salaried professional with a loan and dependants
GST on individual life cover	Zero, since 22 September 2025 (group cover still 18%)
Rs. 1 crore cover, age 25	About Rs. 520-640 a month
Free-look period	30 days from receipt of the policy; refund within 7 days of a request
Waiting period (standard plan)	45 days from the start of risk; not applied on revival
Only exclusion (standard plan)	Suicide within 12 months of start or revival
Grace period	30 days (yearly/half-yearly); 15 days (monthly)
Revival window	5 consecutive years from the first unpaid premium
Section 45 protection	Insurer cannot question the policy after 3 years
Claim settlement time	30 days (no investigation); up to 120 days (investigation)
Delay interest	Bank rate + 2% a year
Tax deduction	Section 123 (was 80C), Rs. 1.5 lakh, old regime only
Death benefit tax	Fully exempt, in the nominee's hands
Grievance ladder	Insurer GRO -> IRDAI Bima Bharosa -> Insurance Ombudsman
Ombudsman	Free; within 1 year; award within 3 months; up to Rs. 50 lakh; binding

Seven myths about term insurance

Each of these myths is common, and each one costs families either money or protection. Here is what is actually true.

Myth 1. 'I am young and single, so I do not need it yet.'

If you have an education loan, support your parents, or expect to marry and have children soon, you have a reason to buy now. Premiums are lowest in your twenties and rise sharply with age — a Rs. 1 crore cover costs roughly 2.7 times more at 40 than at 25 for the same term. Buying young locks in the low price for the whole term.

Myth 2. 'My employer covers me, so I am fine.'

Group cover usually pays one to three years of salary and ends the day your job does — exactly when your family may be most exposed. Treat it as a top-up, not the cover itself.

Myth 3. 'Term insurance is a waste — you get nothing back.'

You are buying protection, not a refund. The money you do not pay into a bundled plan can be invested separately and is yours. For the same outlay, term cover protects your family many times over.

Myth 4. 'I will buy it later, when I can afford it.'

Waiting is the most expensive decision. Every year you wait, the price rises and the risk of a health issue that affects acceptance grows. A modest policy now beats an ideal one that never gets bought.

Myth 5. 'Rs. 1 crore of cover is enough.'

For a family with a home loan and children, Rs. 1 crore often is not. Use the Chapter 3 sum — most salaried professionals with a loan and dependants land between Rs. 1.5 crore and Rs. 3 crore.

Myth 6. 'The insurer will find a way not to pay.'

The Indian life industry settles more than 98% of individual death claims, and Section 45 of the Insurance Act bars an insurer from questioning a policy after three years on any ground. The claims that are rejected are overwhelmingly ones where a material fact was not disclosed. Disclose honestly and the risk almost disappears.

Myth 7. 'I do not need to mention my smoking or my diabetes — it is minor.'

This is the myth that loses the most claims. A disclosed condition that the insurer accepts means a claim on that condition stands. A concealed one gives the insurer grounds to question the claim inside the first three years. Never hide a fact to save a little on the premium.

Glossary of terms you will meet

Insurance documents are full of shorthand. These are the terms that matter when you buy term cover.

Term	What it means
Sum assured	The amount paid to your nominee if you die during the policy term
Sum assured on death	The exact payout, being the highest of 10x annualised premium, 105% of premiums paid, or the basic sum assured
Policy term	How long the cover lasts
Premium paying term	How long you pay premiums; can be shorter than the policy term
Annualised premium	The premium for a year, excluding taxes and rider premiums
Waiting period	45 days at the start of risk under the standard plan, before full cover applies to non-accidental death
Grace period	Extra time to pay a missed premium without losing cover: 30 days (yearly/half-yearly), 15 days (monthly)
Lapse	What happens to the policy if a premium is not paid within the grace period
Revival	Restoring a lapsed policy by paying arrears with interest, usually within 5 years
Free-look period	30 days to cancel a new policy and get a refund, less certain deductions
Nominee	The person who receives the money if you die
Appointee	The adult who receives the money on behalf of a nominee who is a minor
Rider	An optional add-on that pays an extra benefit for an extra premium
Underwriting	The insurer's assessment of your risk, which sets the premium or the decision to accept
e-Insurance account (eIA)	The digital account, held with an insurance repository, in which your policies are stored
Claim settlement ratio	The share of death claims an insurer settled in a year
Human Life Value	The economic value of your future earnings, the basis of the cover calculation
UIN	The unique identification number IRDAI gives every insurance product

Frequently asked questions

At what age should I buy term insurance?

As early as you have a dependant or a liability. Premiums are lowest in your twenties and rise sharply with age — a Rs. 1 crore cover costs about 2.7 times more at 40 than at 25 for the same term. Buying young locks in the low price for the whole term.

Is Rs. 1 crore of cover enough?

For a single person with no dependants, possibly. For a family with a home loan and children, almost never. Use the Chapter 3 sum; most salaried professionals with a loan and dependants land between Rs. 1.5 crore and Rs. 3 crore.

Should I buy term insurance if I have no dependants?

If you have a loan, or you support your parents, or you expect marriage and children soon, buying now at a low locked-in premium makes sense. If you have no liabilities and no dependants at all, an emergency fund and health cover come first.

Can I increase my cover later?

Yes. You can buy an additional policy at any time, and many plans offer a life-stage option to raise cover at marriage or the birth of a child. Adding a second policy is usually simpler than trying to raise the sum assured on an existing one.

Do I pay GST on the premium?

No. Individual life insurance policies, including term plans, have been exempt from GST since 22 September 2025. Group and employer-sponsored policies still carry 18%.

What happens if I miss a premium?

You get a grace period — 30 days for yearly or half-yearly premiums, 15 days for monthly. Pay within it and cover continues. Miss it and the policy lapses, but it can be revived within five years by paying the arrears with interest and confirming your health.

Is the death benefit taxable?

No. The sum assured paid to your nominee on death is fully exempt from income tax, whatever the premium-to-cover ratio. Only maturity payouts on savings-type policies face thresholds.

Can the insurer reject my claim?

Within the first three years it can question the policy if a material fact was misstated or hidden, and it must give written reasons. After three years, Section 45 of the Insurance Act bars the insurer from calling the policy into question on any ground at all. Full disclosure at the start removes the risk.

How long does a claim take?

The insurer must settle within 30 days where no investigation is needed and up to 120 days where one is. If it delays beyond the limit it must pay interest at the bank rate plus 2%.

What if the insurer rejects the claim?

Complain in writing to the insurer's Grievance Redressal Officer first. If unresolved, escalate to IRDAI's Bima Bharosa portal, and then to the Insurance Ombudsman within one year. The Ombudsman's award is binding on the insurer.

Should I buy Saral Jeevan Bima or a regular term plan?

Saral Jeevan Bima is simple and comparable but capped at Rs. 25 lakh unless the insurer offers more. If your cover need is larger, buy a regular term plan. Either way, check the claims record.

Is the cheapest plan the best plan?

No. Price is one of four things that matter — the others are the claims ratio, the share of claims paid within 30 days, and the clarity of the policy wording. A small saving at a slow-paying insurer is a bad trade.

Sources

Every fact, figure and rule in this playbook comes from the following official sources, current as of October 2026. Confirm any figure you intend to rely on against the source before you buy.

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- Department of Financial Services, Ministry of Finance — Exemption of GST on all Individual Life and Health Insurance Policies.
- Income Tax Department — Income-tax Act, 2025 (as amended by the Finance Act, 2026); Section 123 and Schedule XV; Schedule II, Clause 2.
- Insurance Act, 1938 — Section 45 (as substituted by the Insurance Laws (Amendment) Act, 2015); Section 39 (nomination).
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- Published premium illustrations and claim data from insurer websites (LIC, SBI Life, Bajaj Life, Kotak Life and others), used only as indicative market figures.

A closing note

Term insurance is the least glamorous product in personal finance and the most important one for anyone with people who depend on them. It costs about as much as a few cups of coffee a month. The work is in getting the number right, the plan clear, and the disclosure honest. Do those three things and your family is protected — which is the only outcome that matters.